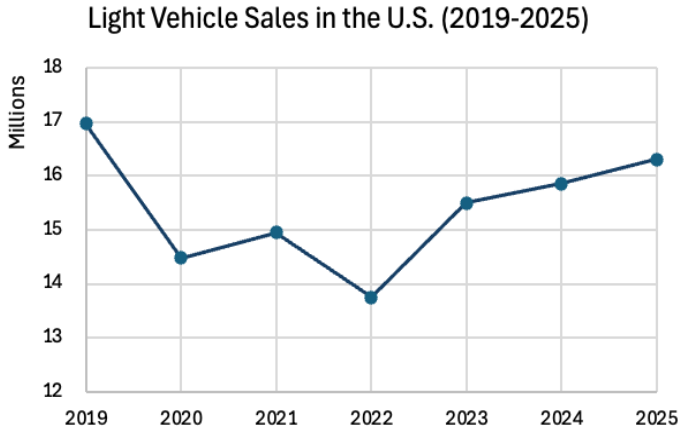
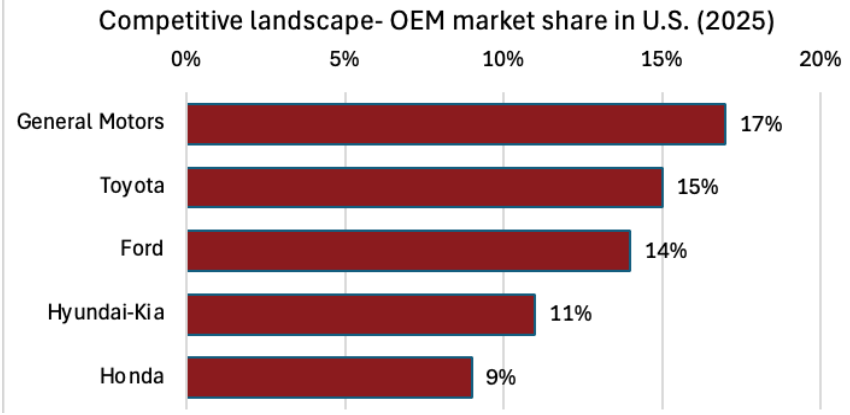


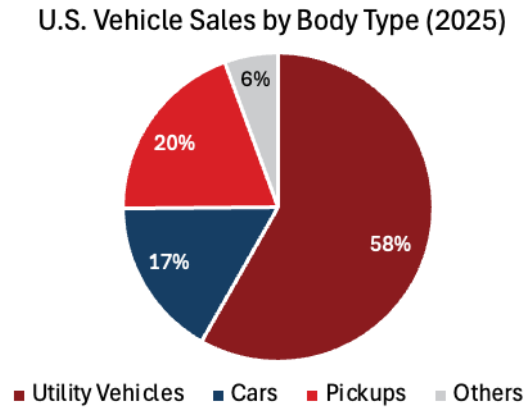
Insulating Toyota's U.S. Value Chain Against Global Trade Volatility

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U.S. Automotive Market Overview (2025 baseline)







Market Size and Affordability

- 2025 U.S. light vehicle demand of ~16.3m units & an average price of ~USD 47 to 48k implies a **~USD 750 to 780b** market
- Volumes remain supported by replacement demand & daily mobility needs
- High prices + interest rates are extending ownership & replacement cycles
- Consumer price sensitivity is increasing

Electrification and Feature Demand

- Battery Electric Vehicles (BEVs) account for ~10% of U.S. new vehicle sales
- Hybrid demand is growing faster than full EVs
- Charging access & range concerns remain key adoption barriers
- Buyers increasingly value fuel efficiency, connectivity & driver assistance features

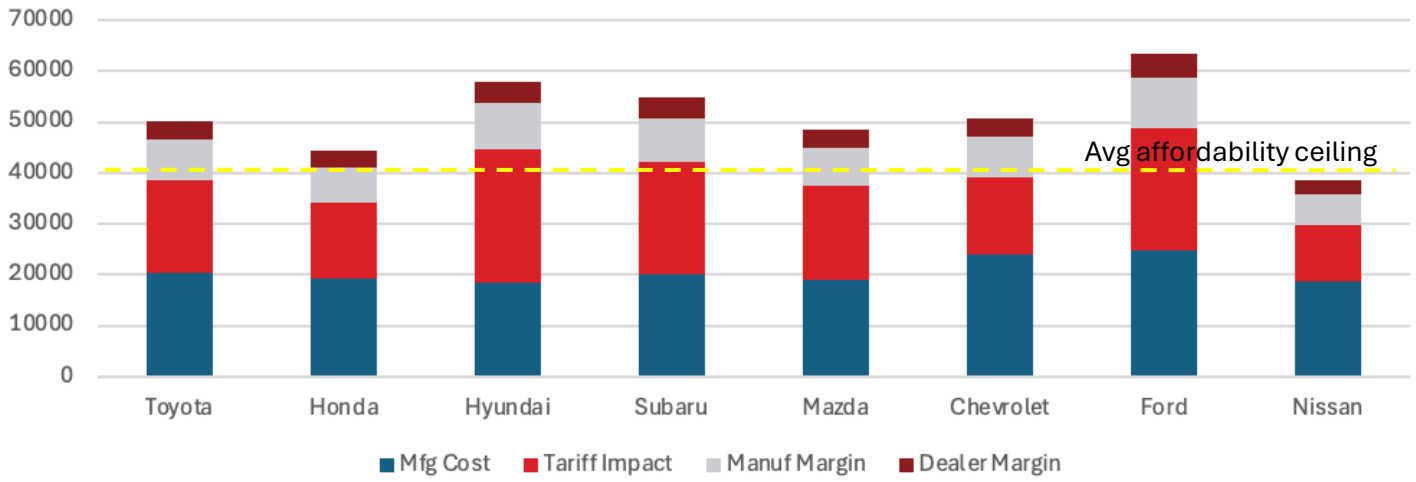
Utility and Profit Concentration

- Utility vehicles & pickups represent ~80% of U.S. sales
- Full-size SUVs & trucks capture a disproportionate share of industry profits
- Demand driven by family usage, lifestyle needs & suburban travel patterns
- Strong SUV & truck portfolios are better positioned under cost shocks

A USD ~750B to 780B market driven by utility vehicles & trucks, with affordability pressure + hybrid adoption shaping near-term demand.

The 200% Tariff as a Catalyst for Structural Change

A 200% duty on "Automotive Equipment" represents a total market lockout. Beyond immediate cost penalties, this disruption marks a permanent shift from efficient to resilient supply chain architectures.



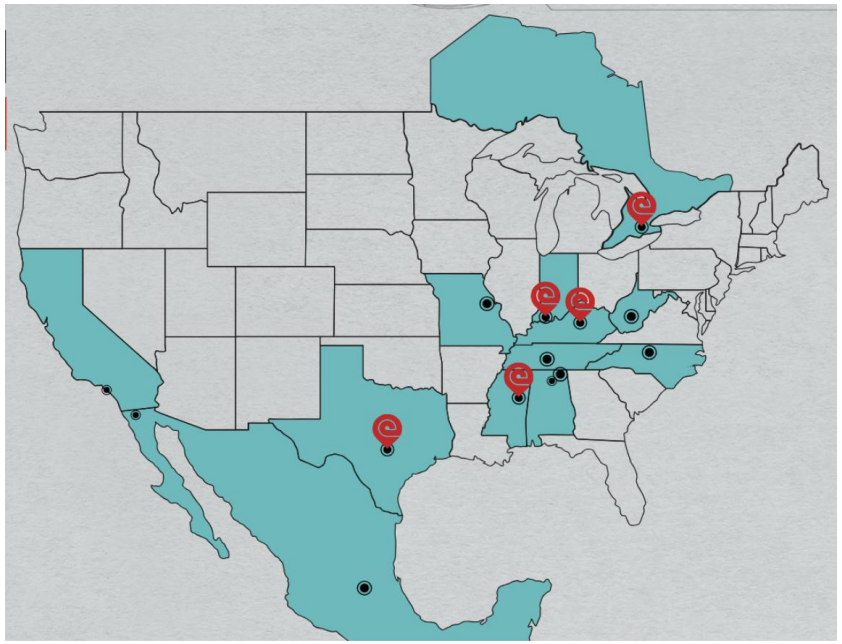
- A **~35% MSRP increase** moves a $35k vehicle to ~$48k. This breaches the affordability threshold for **~60%** of US households, who are priced out of the market once monthly payments exceed $700.
- The vehicle loses its Value Proposition. Consumer behavior models suggest a **70%+ volume drop** as buyers migrate to used vehicles or competitors who have already achieved domestic price stability.

Strategic Market Bifurcation

- The market will bifurcate between those who can localize production and stranded importers who are effectively priced out of the U.S. market.
- This disruption allows for the capture of significant market share left behind by rivals unable to rapidly localize.
- By protecting the consumer from the tariff premium, a brand like Toyota can pivot from a defensive posture to a dominant market-share offensive.

Toyota's existing U.S. industrial scale provides the unique foundation required to bridge this localization gap and secure long-term market immunity.

Toyota's Industrial Footprint U.S



- A network of 11 manufacturing facilities across the U.S., representing a $60B+ localized investment.
- Capacity to produce over 1.3M vehicles annually

Vertical Integration

Toyota's footprint includes specialized plants for **every stage of the value chain:**

- Casting & Machining: Missouri and Tennessee (Engine blocks, cylinder heads, and housings).
- Powertrain Production: Alabama and West Virginia (Engines and Transmissions).
- Core Assembly: Kentucky, Indiana, Texas, and Mississippi.

This existing vertical integration means the "infrastructure for autonomy" is already built. The challenge is solely a matter of **capacity re-allocation** and **localization of sub-components** that tariffs have been placed on.

The Collaborative Huntsville Asset

- The $2.3B joint venture with Mazda in Alabama establishes a proven blueprint for shared-risk manufacturing, currently co-producing the Corolla Cross and Mazda CX-50.
- Huntsville possesses the unused land capacity and established logistical permits required for rapid industrial scaling.
- Huntsville possesses the high-level technical workforce and infrastructure required to absorb complex production lines that are currently overseas.

Toyota’s U.S. Industrial Base Provides a Strong Foundation to Scale Toward a Fully Localized and Tariff-Proof Supply Chain.

Comparing Potential Recommendations

Strategic Metric	Financial Viability	Operational Impact	Unit Economics	Strategic Outcome
A. Do Nothing (Base Case)	Total vulnerability to tariffs leads to a terminal decline in EBIT over five years.	Projected 70%+ volume collapse as MSRPs surge by 35–40%.	$12k+ penalty per vehicle makes the current business model unsustainable.	Failure to adapt leads to a permanent loss of competitive standing.
B. Relocate (Recommended)	Initial Toyota's share of CAPEX is offset by rapid profit recovery.	Leverages Alabama's 28% capacity surplus to absorb high-margin Japan-sourced models.	Saves $12,000–$14,000 per vehicle by neutralizing duties and logistics costs.	Converts a $10B liability into a shared-cost, tariff-proof domestic asset.
C. Market Exit	Eliminates immediate tariff losses but sacrifices 100% of future U.S. revenue streams.	Immediate abandonment of a 2.5M units/year market to domestic competitors.	Permanent removal of high-value nameplates from the North American market.	Permanent loss of North American market share and brand footprint.
D. Absorb Tariff	Leads to rapid capital depletion due to total margin erosion across the portfolio.	Price stability is maintained for consumers, but every unit is sold at a loss.	Internal capital is depleted within 24 months to cover the 200% tariff cost.	Insolvency forced by the inability to sustain negative margins long-term.

Scenario B represents the most viable path to neutralize the 200% tariff threat.

Short term response (2026-2027): Contract manufacturing of Toyota RAV4 Prime via Mazda partnership

Why Mazda as contract manufacturer

- Toyota and Mazda already jointly operate the $2.3B Mazda-Toyota manufacturing plant in Alabama
- Plant is designed for compact and mid-size unibody SUVs, matching RAV4 Prime's body and assembly architecture
- Existing joint governance, quality systems, supplier base reduce execution and ramp-up risk
- Enables rapid localisation without building a new factory or relocating suppliers in the short term
- Plant design capacity: **~300k** per year

Target model to localise from imports

- **Toyota RAV4 Prime (PHEV)**
- Cars sold in the U.S. are produced in Japan and imported, making it fully exposed to the tariff shock scenario
- Compact unibody SUV with manufacturing processes close to model already built at the Mazda-Toyota plant (Mazda CX-50)
- Plug-in hybrid architecture avoids the need for a dedicated BEV production line, lowering tooling and training requirements

U.S. demand and volume to retain

- Current U.S. RAV4 Prime are **~50k units per year,** constrained mainly by limited import allocation rather than weak demand
- Contract manufacturing target of **60k units in 2026** & **80k units per year** from 2027 onwards at Alabama plant
- Volume uplift driven by removal of import allocation limits, lack of exposure to tariffs and strong underlying compact SUV demand
- Supported by rising fuel cost sensitivity and faster growth in hybrid + plug-in hybrid adoption vs full EVs

Replaces tariff-exposed RAV4 Prime imports with U.S. production through Mazda's existing SUV manufacturing capacity

Short term response (2026-2027): Contract manufacturing of Toyota RAV4 Prime via Mazda partnership

Contract manufacturing and ramp-up plan

Phase 1 (0-6 months)

- Negotiate contract manufacturing agreement with Mazda
- Define per-unit assembly fee and overhead recovery structure
- Confirm allocation of one SUV line for RAV4 Prime production

Phase 2 (6-18 months)

- Limited retooling and calibration for RAV4 Prime PHEV integration
- Supplier slot reallocation for powertrain and battery components
- Start phased production ramp towards 60k units in 2026

Commercial and consumer actions

- Position RAV4 Prime as U.S. built and tariff insulated
- Bundle two-year complimentary servicing and extended hybrid system warranty
- Prioritise manufacturer-supported financing to offset higher interest rates relative to historical norms
- Dealer campaigns highlighting delivery stability and local production

Financial and strategic impact

- RAV4 Prime avoids full import tariff exposure under the scenario
- On an estimated value of **~USD 45k** per vehicle, a 200% tariff implies **~USD 90k of tariff cost avoided** per unit
- At ~60-80k units per year, this protects a material share of Toyota's electrified SUV revenue while funding Mazda's contract manufacturing fees
- Allows Toyota to preserve pricing and brand competitiveness during the shock period

Protects Toyota's highest-demand electrified SUV in the U.S. while buying time for long-term localisation strategies

Future Outlook: Securing a Domestic Ecosystem through Strategic Partnerships

MAZDA TOYOTA

Why Mazda

- Expand on the existing strong foundation of a $2.3B joint venture facility in Alabama with a 71.8% utilization rate.
- Reducing individual tooling costs by sharing massive "upstream" investments that support different brand requirements under one roof.
- Aggregates Mazda’s niche volume and Toyota’s high volume overcoming individual CAPEX barriers to achieve Minimum Efficient Scale

Feasibility & Capacity Activation

- Leverage the 28% capacity surplus (~85k units) to absorb Japan-sourced models (4Runner, Land Cruiser, Prius).
- A "Brownfield" expansion would be faster and cheaper than a new build due to existing permits.
- Proximity to Georgia/Carolina "Battery Belt" allows sourcing steel/aluminum from regional mills and lithium/ graphite.
- 15% lower labor costs vs. the Midwest by utilizing Alabama’s "Right-to-Work" laws for high-flexibility shifts.

Competitive Moat

- Converts a 200% import liability into a domestic manufacturing advantage, recovering profit margin per vehicle.
- While competitors raise prices to cover tariff costs, the localized "Mazda-Toyota Shield" maintains price stability, enabling aggressive market share capture.
- Establishing a domestic ecosystem provides immunity from global trade volatility and political shocks, ensuring operational continuity.

The Mazda-Toyota Synergy Scaling for Survival and Growth in the face of Trade Volatility

Phased execution roadmap under tariff shock

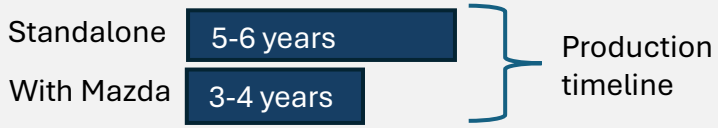
Phase 1 (2026-2030): Bridge and Prepare

- Execute Mazda contract manufacturing for RAV4 Prime to protect tariff-exposed volumes
- Establish joint Toyota-Mazda U.S. expansion programme office
- Finalise site, incentives, permitting and plant layout for new facility
- Complete manufacturing and line architecture feasibility studies
- Pre-qualify tier 1 and tier 2 suppliers and secure long lead tooling



Phase 2 (2030-2035): Build and Integrate

- Construct and equip the new U.S. manufacturing site
- Deploy shared production systems, quality infrastructure, digital tools
- Recruit and train production and engineering workforce with Mazda
- Localise supplier tooling and production readiness for high-value components
- Accelerated build through Mazda partner network + qualified suppliers



Phase 3 (2035 onwards): Scale and Insulate

- Ramp production to full designed capacity
- Transfer remaining import exposed volumes into U.S production network
- Expand localisation of electrified modules, electronics, control systems
- Enable multi model and multi powertrain platform flexibility
- Optimise cost, quality, delivery performance across U.S. network



Mazda's partnership enables faster and lower-capex localisation while phasing Toyota's U.S. manufacturing footprint into a resilient, tariff-insulated network

Our 3-Phase solution recovers lost revenue to tariffs while protecting market share at low costs

Imposed tariffs wipe out **5,800,000 Million** Yen from EBIT (2026-2030)

Our 3-Phase solution promises **88%** EBIT Margin on Recovery

